

Industry bodies like AiMeD are calling for a uniform GST rate of 12% to support the government's Make in India initiative for medical devices. They have requested that in-vitro diagnostic analysers and sanitisers not be classified as luxury goods, urging the government to reduce the GST rate on such items to 12% from the current 18%.

Rajiv Nath, Forum Coordinator of AiMeD, says manufacturers are unable to fully utilise the accumulated GST on their procured inputs, such as raw materials, components, and machinery. "Consequently, they would need to increase ex-factory prices, making domestically produced devices more expensive compared to imports," he explains.

Himanshu Baid, Managing Director of medical devices maker Poly Medicure Ltd, advocates standardising the GST rate to 12% across all medical devices and simplifying the tax structure.

Baid also suggests increasing export incentives under the Remission of Duties and Taxes on Exported Products scheme to 2-2.5%, up from the current 0.6-0.9%. This, Baid says, will boost the global competitiveness of Indian medical devices manufacturers and help them expand globally.

Equally important is the implementation of policies to limit the reuse of single-use medical devices, ensuring patient safety, reducing healthcare-associated risks, and maintaining high industry standards. Extending the PLI scheme by two to three years would also benefit local manufacturers, says Baid.

The pharmaceuticals sector, a crucial part of India's healthcare ecosystem, is likely to be a focus in the upcoming Budget. With exports reaching \$25.4 billion in FY23 and a



"The Union Budget offers an opportunity to address systemic gaps, like the shortage of specialists, rising cancer care costs, etc."

Abhay Soi
CMD, MAX HEALTHCARE
INSTITUTE LTD



"I hope the Union Budget will increase allocations to the National Health Mission and the Digital Health Mission"

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strong domestic market, the government may look to expand the PLI scheme to further promote the manufacturing of active pharmaceutical ingredients and essential drugs.

Anil Matai, Director General of the Organisation of Pharmaceutical Producers of India, highlights the need for policy changes, such as greater exemptions on import duties for life-saving drugs and oncology medicines. These measures could help reduce treatment costs and make healthcare more accessible.

Matai also proposes simplifying procedures for Advance Pricing Agreements (APA). An APA is an agreement between a business and tax authorities, typically used by multinational companies to determine how their cross-border transactions will be taxed.

Furthermore, Matai suggests extending the scope of Section 115BAB of the Income Tax Act, to include pharma R&D companies. This section currently offers tax incentives to newly set up manufacturing companies by allowing them to pay a reduced tax rate of 15%.

Moreover, Matai calls for mandatory timelines for resolving appeals by the Income Tax Appellate authorities and the removal of turnover criteria for safe harbour provisions related to R&D. Safe harbour provisions are tax guidelines that protect businesses from penalties if they comply with certain rules. Removing turnover criteria would make it easier for smaller pharmaceutical companies to benefit from these provisions.

Clearly, there are many pressing needs in the sector. Over to the Finance Minister to address some of them in the Budget. **BT**

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